RBI - OFFICIAL REGULATORY DIRECTION
Circular on Co-Lending Model (CLM) Between Banks and NBFCs for Priority Sector

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Chapter 1: Operational Compliance Guidelines (DOC_018)

Chapter 2: Operational Compliance Guidelines (DOC_018)

Section 3: Minimum 20% NBFC Skin-in-the-Game Retention and Escrow Routing

3.1 Minimum Retention Share on NBFC Balance Sheet
Under the Co-Lending Model (CLM) between Scheduled Commercial Banks and registered NBFCs, the originating NBFC is required to retain a minimum of 20 percent share of the individual loans on its own books until maturity to ensure skin-in-the-game alignment.

3.2 Dedicated No-Lien Escrow Account
All disbursements and borrower repayments under a Co-Lending arrangement must be routed exclusively through a dedicated no-lien escrow account maintained with the partner bank or a third-party trustee bank, with automated daily reconciliation.

Chapter 4: Operational Compliance Guidelines (DOC_018)

Chapter 5: Operational Compliance Guidelines (DOC_018)

Chapter 6: Operational Compliance Guidelines (DOC_018)